Construction of SPF Datasets for the ME3AI Project

Abstract

This document specifies the procedure for constructing Survey of Professional Forecasters (SPF) datasets used in this project. The SPF is a quarterly survey of macroeconomic forecasts conducted by the Federal Reserve Bank of Philadelphia; data are provided as Excel workbooks (median and mean levels and growth rates, probabilities, dispersion, and microdata). We describe how to obtain the official releases, which variables and vintages to use, how to validate and normalize the data into the project's cleaned third normal form (3NF) structure, and how to link them to the pipeline input and output folders. This document serves as the single source of truth for SPF dataset construction and reproducibility.

Table 1: Notation and terms used in this document.

Symbol or term	Definition
SPF	Survey of Professional Forecasters
3NF	Third normal form (database normalization)
BEA	Bureau of Economic Analysis
NIPA	National income and product accounts (BEA advance report)
`var_path`	URL path segment for a variable (lowercase; e.g., `ngdp`, `cpi10`)
VAR	Placeholder for variable code in filenames (e.g., NGDP, CPI10)
`overwrite`	Policy: `overwrite` or `skip-if-exists`

1 Data source and scope

The Survey of Professional Forecasters (SPF) is a quarterly survey of professional forecasters, formerly run by the American Statistical Association and the National Bureau of Economic Research (from 1968:Q4) and taken over by the Federal Reserve Bank of Philadelphia in 1990:Q2. The Philadelphia Fed publishes documentation and data files; the canonical reference for variable definitions, file layout, and timing is the *SPF Documentation* (Philadelphia Fed, latest update March 2024), held in this project as `reference/spf-documentation.pdf`.

The survey is timed to the release of the Bureau of Economic Analysis (BEA) advance report of the national income and product accounts (NIPA): questionnaires are sent after that report; deadlines fall in the second to third week of the middle month of each quarter; results are released before the BEA second report. For the construction of our datasets, we use the survey date (year and quarter) as the primary time index. The first survey fully conducted in real time by the Philadelphia Fed is 1990:Q3. Earlier vintages (1968:Q4 to 1990:Q2) may be used with the caveats noted in the official documentation.

2 Published files and variables

The Philadelphia Fed provides SPF data *by variable*: each variable has a dedicated data page from which Excel (and other) files can be downloaded. The variable index is at `https://www.philadelphiafed.org/surveys-and-data/data-files`; clicking a variable (e.g., NGDP, CPI10, RGDP, UNEMP) leads to a page at

`https://www.philadelphiafed.org/surveys-and-data/`*var_path*,

where *var_path* is the variable identifier in lowercase (e.g., `ngdp`, `cpi10`, `rgdp`). The sole exception is CPI inflation, which uses `cpi-spf`. Variable names and paths are listed on the data-files index (e.g., "10-Year CPI Inflation Rate (CPI10)" maps to `/cpi10`).

On each variable page, the following file types are typically offered (availability may vary by variable):

- **Documentation**:
  Link to the SPF documentation PDF (same for all variables).
- **Measures of Cross-Sectional Forecast Dispersion**:
  `Dispersion_`*VAR*`.xlsx` (e.g., `Dispersion_CPI10.xlsx`, `Dispersion_NGDP.xlsx`).
- **Median Responses**:
  `Median_`*VAR*`_Level.xlsx` (e.g., `Median_NGDP_Level.xlsx`, `Median_CPI10_Level.xlsx`).
- **Mean Responses**:
  `Mean_`*VAR*`_Level.xlsx`.
- **Annualized Percent Change of Median/Mean Responses**:
  `Median_`*VAR*`_Growth.xlsx` and `Mean_`*VAR*`_Growth.xlsx`. For variables that have growth rates (e.g., NGDP, RGDP); not all variables such as CPI10 offer growth files.
- **Individual Responses**:
  `Individual_`*VAR*`.xlsx`.

Filenames use the variable code as on the website (e.g., NGDP, CPI10). The automation must fetch the variable page, extract the download links for the desired file types, and save each file to `data-pipeline/input/` under that same filename (no timestamps). Variable names, horizons, and caveats are defined in the SPF documentation; we record the exact variable names and definitions in a project codebook.

3 Download automation: inputs and outputs

We automate retrieval of SPF files from the Philadelphia Fed website so that raw files are saved to `data-pipeline/input/` without manual download. Given a variable name (e.g., CPI10, NGDP), the data are hosted on that variable's page at `https://www.philadelphiafed.org/surveys-and-data/`*var_path*. The automation fetches the page, parses the HTML for the desired download links (Dispersion, Median Level, Mean Level, Median Growth, Mean Growth, Individual), and downloads each file to the input folder under the same filename as on the site (e.g., `Median_CPI10_Level.xlsx`). When parsing links, the implementation must match `<a>` tags where `href` may appear after other attributes (e.g. `class`), since the Philadelphia Fed markup may use that order.

Inputs. A list of variable names (e.g., CPI10, RGDP, UNEMP, NGDP) as on the Philadelphia Fed data-files index. Optional inputs: which file types to download (e.g., median level, mean level, dispersion, individual); overwrite policy `overwrite` $\in \{$`overwrite`, `skip-if-exists`$\}$ (whether to overwrite an existing file or skip); output directory (default `data-pipeline/input/`).

Outputs. Each selected file is saved under `data-pipeline/input/` with the same filename as on the website (no timestamps or version suffixes). Each file is downloaded at most once per variable; if multiple variables were to share the same filename, the implementation should deduplicate so that the file is written once.

Three logical functions suffice: (1) given a variable name, return the variable page URL (lowercase path, with exception CPI $\rightarrow$ `cpi-spf`); (2) given a variable page URL and requested file types, fetch the page and return a list of (filename, download URL) pairs; (3) given a download URL and local path, download the file subject to the overwrite policy. The top-level procedure loops over the requested variables, obtains the link list for each, and downloads each file to `data-pipeline/input/`.

4 Pipeline and 3NF

Our data pipeline (see `docs/workflow/data_pipeline.md`) has three stages: **input** (raw data), **cleaned** (third normal form, 3NF), and **output** (analysis results). SPF data enter as raw files in the input folder and are transformed into cleaned tables that satisfy 3NF.

Input. Place the official Excel workbooks in the pipeline input folder. Do not modify the original files; preserve them as the source of truth.

Cleaned. The current implementation focuses on **individual (microdata)** forecasts only. Cleaned output is CSV: `forecast_individual.csv` in **wide** form (primary key: survey_year, survey_quarter, forecaster_id; one column per forecast horizon, all horizons in the same row) and `forecaster_survey.csv` (primary key: survey_year, survey_quarter, forecaster_id; `industry`). No separate survey table is used; the set of (survey_year, survey_quarter) is derivable from `forecast_individual`. Level/mean/median and probability tables may be added in a later stage.

Output. Analyses read from the cleaned folder and write results to the output folder, organized by analysis type.

Before treating a constructed SPF dataset as final: verify that raw files match the expected Philadelphia Fed release; confirm variable names and column layouts align with the SPF documentation; after transformation, check row counts and primary keys; record data source, retrieval date, and any filtering in the codebook or a README in the cleaned folder.

5 Prepare dataset for forecast revision regression

In this section, all constructed objects are indexed by a forecast unit u and a survey date $s = (y, q)$. Here the unit index u corresponds to `forecaster_id`. Let s^- denote the previous survey date corresponding to s: if $q \in \{2, 3, 4\}$ then $s^- = (y, q-1)$, while if $q = 1$ then $s^- = (y-1, 4)$. With this notation, the three key constructed objects are the long-term inflation expectation $x_{u,s}$, inflation news $n_{u,s}$, and the reputation measure $\rho_{u,s}$.

5.1 Construct long-term inflation expectation

Following Appendix A.1.3 in Aruoba, let $\pi_{a\to b}$ denote annualized quarterly inflation between quarters a and b, and use the same continuous-compounding approximation. The SPF 10-year CPI forecast is a *fixed-event* forecast: in each survey quarter it refers to inflation over 10 years starting from the previous year's Q4. Hence part of the reported object is already realized by the survey date and must be removed before using it as a forward-looking measurement equation.

In the cleaned wide table `forecast_individual.csv`, both the raw 10-year expectation and the realized short-horizon inflation term are taken from the same survey row: column `CPI10` gives the raw 10-year expectation and column `CPI1` gives the realized inflation term used in the adjustment. The adjusted output is written as a separate minimal table `adjusted_cpi10.csv` with columns `(survey_year, survey_quarter, forecaster_id, adjusted_cpi10)`. This adjusted object is the individual-level long-term inflation expectation $x_{u,s}$ used in the forecast revision regression.

With quarterly inflation, the raw 10-year object is the average of 40 quarterly inflation rates. For the first-quarter survey, there is no realized quarter inside the 10-year window, so

$$\text{SPF-10YR-Q1}_t \approx \frac{1}{40}\sum_{j=0}^{39}\pi_{t-1+j\to t+j}. \tag{1}$$

Define the long-term inflation expectation by survey date as

$$x_{u,(y,1)} \equiv \text{CPI10}_{u,(y,1)}, \tag{2}$$

$$x_{u,(y,2)} \equiv \frac{40\cdot\text{CPI10}_{u,(y,2)} - \text{CPI1}_{u,(y,2)}}{39}, \tag{3}$$

$$x_{u,(y,3)} \equiv \frac{40\cdot\text{CPI10}_{u,(y,3)} - \big(\text{CPI1}_{u,(y,2)} + \text{CPI1}_{u,(y,3)}\big)}{38}, \tag{4}$$

$$x_{u,(y,4)} \equiv \frac{40\cdot\text{CPI10}_{u,(y,4)} - \big(\text{CPI1}_{u,(y,2)} + \text{CPI1}_{u,(y,3)} + \text{CPI1}_{u,(y,4)}\big)}{37}. \tag{5}$$

The corresponding forward-looking measurement equations are

$$x_{u,(y,1)} = \frac{1}{40}\sum_{j=0}^{39}\pi_{t-1+j\to t+j} + \varepsilon_{u,(y,1)}, \tag{6}$$

$$x_{u,(y,2)} = \frac{1}{39}\sum_{j=0}^{38}\pi_{t-1+j\to t+j} + \varepsilon_{u,(y,2)}, \tag{7}$$

$$x_{u,(y,3)} = \frac{1}{38}\sum_{j=0}^{37}\pi_{t-1+j\to t+j} + \varepsilon_{u,(y,3)}, \tag{8}$$

$$x_{u,(y,4)} = \frac{1}{37}\sum_{j=0}^{36}\pi_{t-1+j\to t+j} + \varepsilon_{u,(y,4)}. \tag{9}$$

Under this quarterly representation, CPI1 enters the raw 10-year forecast with weight 1/40 once it is realized, but the adjusted object re-averages only over the remaining forward-looking quarters. Thus Q2 rescales by 39, Q3 rescales by 38, and Q4 rescales by 37. The raw CPI10 measure therefore mechanically contains more realized inflation in Q4 than in Q1.

5.2 Construct inflation news

For each forecast unit and survey date, inflation news is defined as the realized inflation for the current quarter minus the nowcast of that same quarter made in the previous survey. In the cleaned wide table `forecast_individual.csv`, the realized term is `CPI1` from the current survey row, while the nowcast term is `CPI2` from the previous survey row for the same unit. The constructed output is written as `inflation_news.csv` with columns `(survey_year, survey_quarter, forecaster_id, inflation_news)`. Thus,

$$n_{u,s} \equiv \mathrm{CPI1}_{u,s} - \mathrm{CPI2}_{u,s^-}. \tag{10}$$

For individual forecasts, this means matching the current row (*survey_year*, *survey_quarter*, *forecaster_id*) to the lagged survey row for the same `forecaster_id`, with the Q1 rollover encoded in s^-. This notation makes the timing explicit: $n_{u,s}$ is always dated at the current survey s, while the forecast component comes from the previous survey s^-.

5.3 Construct reputation measure

A dedicated regression config file determines how the long-term inflation expectation $x_{u,s}$ is defined for the forecast revision pipeline. The config contains an ordered list of specifications to run, namely raw `CPI10` and adjusted `CPI10`. If one specification selects raw `CPI10`, then

$$x_{u,s} \equiv \mathrm{CPI10}_{u,s}. \tag{11}$$

If another specification selects adjusted `CPI10`, then $x_{u,s}$ equals the adjusted long-term inflation expectation constructed in the previous subsection and stored in `adjusted_cpi10.csv`. In either case, u corresponds to `forecaster_id`. Each configured definition of $x_{u,s}$ is propagated through its own versions of `reputation_measure.csv` and `regression_dataset.csv`. Define the reputation measure ρ from

$$x_{u,s} = \rho_{u,s}\left((1-q)\pi_{\text{target}} + qz_a\right) + (1-\rho_{u,s})\left((1-q)\pi_{\text{NE}} + qz_\alpha\right). \tag{12}$$

Given values for q, π_{target}, π_{NE}, z_a, and z_α, this equation implies

$$\rho_{u,s} = \frac{x_{u,s} - ((1-q)\pi_{\text{NE}} + qz_\alpha)}{((1-q)\pi_{\text{target}} + qz_a) - ((1-q)\pi_{\text{NE}} + qz_\alpha)}. \tag{13}$$

The implementation must load the parameter values from a config file rather than hardcoding them in the construction procedure. It must also load the configured list of long-term inflation expectation definitions from the dedicated regression config file. For each observation where $x_{u,s}$ is available, compute $\rho_{u,s}$ using the configured parameter values and the selected definition of $x_{u,s}$ dated at the same survey s. The constructed output for each specification is written as `reputation_measure.csv` with columns `(survey_year, survey_quarter, forecaster_id, rho)` in its own specification-specific output directory.

5.4 Construct regression dataset

The regression dataset is indexed at the survey-date level. For each survey date s, define the individual long-term inflation forecast revision for unit u using the same config-selected definition of $x_{u,s}$ by

$$r_{u,s} \equiv x_{u,s} - x_{u,s^-}. \tag{14}$$

The regression dependent variable is the matched-sample mean of these individual revisions across units observed in both s and s^-. Let $\mathcal{U}_s$ denote the set of units u such that both $x_{u,s}$ and x_{u,s^-} are observed. Then the dependent variable is

$$\bar{r}_s \equiv \frac{1}{|\mathcal{U}_s|} \sum_{u \in \mathcal{U}_s} r_{u,s}. \tag{15}$$

The same matched sample $\mathcal{U}_s$ is used to construct the survey-level regressors. Define

$$\bar{n}_s \equiv \frac{1}{|\mathcal{U}_s|} \sum_{u \in \mathcal{U}_s} n_{u,s}, \tag{16}$$

$$\bar{\rho}_{s^-} \equiv \frac{1}{|\mathcal{U}_s|} \sum_{u \in \mathcal{U}_s} \rho_{u,s^-}, \tag{17}$$

$$z_{2,s} \equiv \bar{n}_s \bar{\rho}_{s^-} \left(1 - \bar{\rho}_{s^-}\right), \tag{18}$$

$$z_{3,s} \equiv \bar{n}_s \bar{\rho}_{s^-} \left(1 - \bar{\rho}_{s^-}\right)^2. \tag{19}$$

Thus the regression-ready dataset at survey date s contains the dependent variable $\bar{r}_s$ and the three survey-level regressors $\bar{n}_s$, $z_{2,s}$, and $z_{3,s}$. The reputation term entering the nonlinear regressors is the matched-sample mean previous-survey reputation $\bar{\rho}_{s^-}$, computed using the same set of units $\mathcal{U}_s$. The constructed survey-level dataset is written as `regression_dataset.csv`.

6 OLS regressions for forecast revision

The three OLS regressions are estimated at the survey level with a constant:

$$\bar{r}_s = \alpha_1 + \beta_1 \bar{n}_s + \varepsilon_{1,s}, \tag{20}$$

$$\bar{r}_s = \alpha_2 + \beta_2 z_{2,s} + \varepsilon_{2,s}, \tag{21}$$

$$\bar{r}_s = \alpha_3 + \beta_3 z_{3,s} + \varepsilon_{3,s}. \tag{22}$$

The estimation sample is restricted by the dedicated regression config file, which specifies the start survey date and end survey date to use for both estimation and fitted-value comparisons for each configured specification.

6.1 Reported regression statistics

For each of the three regressions, report a table containing the coefficient estimate, p value, adjusted R^2, RMSE, and sample size. The table should have one row for each model and use the corresponding regression-ready sample used to estimate that model.

6.2 Comparison figure

Construct a figure showing the cumulative change in long-term inflation forecast over the same config-selected sample window used in estimation. The figure should plot the cumulative sum of the survey-level data series $\bar{r}_s$ against the cumulative sums of the fitted counterparts produced by the three regression models, using the same bounded survey window in each series. Plot the data using a black dashed line. Plot the fitted counterpart from Model 1 using a magenta solid line, Model 2 using a blue solid line, and Model 3 using a red solid line.

7 Regression results

The regression implementation writes a results table and a comparison figure to `output/forecast_revision/`. The table is `regression_results.csv`; it contains one row for each model and the reported statistics described above: coefficient estimate, p value, adjusted R^2, RMSE, and sample size. The figure is `cumulative_forecast_revision_comparison.png`; it plots the cumulative change in long-term inflation forecast over the config-selected sample window for the data series and for the fitted counterparts from Models 1, 2, and 3 using the specified line styles and colors.

8 Algorithms: download automation

Algorithm 1 VariablePageURL(*var*)

Require *var*: variable name as on Philadelphia Fed data-files index (e.g., NGDP, CPI10).
path ← lowercase(*var*).
if *var* = `CPI` **then**
    path ← `cpi-spf`. ▷ exception per Philadelphia Fed URL
return `https://www.philadelphiafed.org/surveys-and-data/` ⊕ *path*.

Algorithm 2 GetDownloadLinks(*page_url*, *file_types*)

Require *file_types*: subset of {`dispersion`, `median_level`, `mean_level`, `median_growth`, `mean_growth`, `individual`}, and optionally `documentation`.
Fetch HTML at *page_url*.
Parse page for download links: match `<a>` tags allowing `href` to appear after other attributes (e.g. `class`); match link text or href to each requested type (e.g., "Median Responses" → `Median_VAR_Level.xlsx`, "Measures of Cross-Sectional Forecast Dispersion" → `Dispersion_VAR.xlsx`).
Build list L of (*filename*, *download_url*) for each matched link; extract *filename* from the URL or link (stable name, e.g., `Median_NGDP_Level.xlsx`).
return L.

Algorithm 3 DownloadOneFile(*download_url*, *outpath*, `overwrite`)

Require `overwrite` ∈ {`overwrite`, `skip-if-exists`}.
if `overwrite` = `skip-if-exists` and file exists at *outpath* **then**
    return (skip).
Download from *download_url* to *outpath* (overwrite if file exists when `overwrite` = `overwrite`).
return *outpath*.

Algorithm 4 DownloadByVariableNames(*variable_names*, *file_types*, *out_dir*, `overwrite`)

Require *out_dir* = `data-pipeline/input/` (fixed by project layout).
Require *file_types*: which file types to download per variable (e.g., median level, mean level, dispersion, individual).
written ← ∅. ▷ optional: track filenames already written to avoid duplicate writes
for each v in *variable_names* **do**
  page_url ← VariablePageURL(v).
  L ← GetDownloadLinks(*page_url*, *file_types*).
  for each (*filename*, *url*) in L **do**
    outpath ← *out_dir* joined with *filename*.
    DownloadOneFile(*url*, *outpath*, `overwrite`).
    Add *outpath* to *written* (if not already present).
return *written* (list of paths in `data-pipeline/input/`).

9 Algorithm: construct cleaned datasets (individual only)

The following procedure summarizes the construction of SPF *individual* forecast datasets from raw Excel files to cleaned CSV. Raw files `Individual_VAR.xlsx` are assumed present in `data-pipeline/input/` (e.g., produced by DownloadByVariableNames with `individual` in `file_types`). Output is CSV; `forecast_individual` is written in wide form (one row per survey/forecaster, one column per horizon). Helper functions used by the main procedure are specified below.

Algorithm 5 LoadIndividualSheet(*path*)

Require *path*: path to one `Individual_VAR.xlsx` file.
Load first sheet: row 1 = header; first four columns YEAR, QUARTER, ID, INDUSTRY; remaining columns = horizon names.
Validate: at least YEAR, QUARTER, ID present; at least one horizon column.
Melt to long form: id_vars = (YEAR, QUARTER, ID, INDUSTRY), value_vars = horizon columns; create columns `horizon`, `value`.
Rename YEAR → survey_year, QUARTER → survey_quarter, ID → forecaster_id.
return long-form table (survey_year, survey_quarter, forecaster_id, industry if present, horizon, value).

Algorithm 6 HorizonSortKey(*col*)

Require *col*: horizon column name (e.g., CPI1, CPI10).
Ensure 10-year horizon (name ending with `10`) is ordered last.
return pair (*col* ends with `10`, *col*) for sorting (False before True, then by name).

Algorithm 7 BuildForecastIndividual(*df_long*)

Require *df_long*: concatenated long-form table from LoadIndividualSheet.
Pivot: index = (survey_year, survey_quarter, forecaster_id); columns = horizon; values = value.
If the same horizon appears in more than one raw file, keep the first non-missing value.
Order horizon columns: sort by HorizonSortKey so 10-year column is last.
Final columns: (survey_year, survey_quarter, forecaster_id, horizon_1, horizon_2, ..., horizon_10).
return wide table (key columns as integers where applicable).

Algorithm 8 BuildForecasterSurvey(*df_long*)

Require *df_long*: concatenated long-form table (must contain survey_year, survey_quarter, forecaster_id, INDUSTRY or industry).
Select distinct (survey_year, survey_quarter, forecaster_id, industry); sort by (survey_year, survey_quarter, forecaster_id).
return forecaster_survey table; primary key (survey_year, survey_quarter, forecaster_id).

Algorithm 9 CleanIndividualTo3NF(*input_dir*, *cleaned_dir*)

Require *input_dir*: path to input folder; *cleaned_dir*: path to cleaned output folder.
Find all `Individual_*.xlsx` in *input_dir*.
for each file *path* in that list **do**
    df ← LoadIndividualSheet(*path*).
    Append *df* to collection of long-form tables.
df_long ← concatenate all long-form tables.
forecast_individual ← BuildForecastIndividual(*df_long*).
forecaster_survey ← BuildForecasterSurvey(*df_long*).
Write *forecast_individual* to *cleaned_dir*/`forecast_individual.csv`, *forecaster_survey* to *cleaned_dir*/`forecaster_survey.csv`.
return the two tables (forecast_individual, forecaster_survey).

Algorithm 10 GetQuarterSpecificValue(*key*, *horizon*)

Require *key*:
    (*forecast_individual*, *survey_year*, *survey_quarter*, *forecaster_id*).
Require *forecast_individual*: cleaned wide table.
Find row with key
    (*survey_year*, *survey_quarter*, *forecaster_id*).
return value in column *horizon* (e.g., `CPI1` or `CPI10`).

10 Algorithms: prepare dataset for forecast revision regression

10.1 Construct long-term inflation expectation

Algorithm 11 AdjustCPI10Forecasts(*forecast_individual*)

```
Require forecast_individual: cleaned wide table
    containing columns CPI1 and CPI10.
Initialize output table for adjusted 10-year CPI forecasts.
for each row key (survey_year, survey_quarter, forecaster_id) do
    key ← (forecast_individual, survey_year, survey_quarter, forecaster_id)
    cpi10 ← GetQuarterSpecificValue(key, CPI10)
    if survey_quarter = 1 then
        adjusted ← cpi10
    else if survey_quarter = 2 then
        key_q2 ← (forecast_individual, survey_year, 2, forecaster_id)
        cpi1_q2 ← GetQuarterSpecificValue(key_q2, CPI1)
        adjusted ← (40 · cpi10 − cpi1_q2)/39
    else if survey_quarter = 3 then
        key_q2 ← (forecast_individual, survey_year, 2, forecaster_id)
        key_q3 ← (forecast_individual, survey_year, 3, forecaster_id)
        cpi1_q2 ← GetQuarterSpecificValue(key_q2, CPI1)
        cpi1_q3 ← GetQuarterSpecificValue(key_q3, CPI1)
        adjusted ← (40 · cpi10 − (cpi1_q2 + cpi1_q3))/38
    else
        key_q2 ← (forecast_individual, survey_year, 2, forecaster_id)
        key_q3 ← (forecast_individual, survey_year, 3, forecaster_id)
        key_q4 ← (forecast_individual, survey_year, 4, forecaster_id)
        cpi1_q2 ← GetQuarterSpecificValue(key_q2, CPI1)
        cpi1_q3 ← GetQuarterSpecificValue(key_q3, CPI1)
        cpi1_q4 ← GetQuarterSpecificValue(key_q4, CPI1)
        adjusted ← (40 · cpi10 − (cpi1_q2 + cpi1_q3 + cpi1_q4))/37
    Write adjusted to the output table for that row key.
return table of adjusted 10-year CPI forecasts.
```

10.2 Construct inflation news

Algorithm 12 ConstructInflationNews(*forecast_individual*)

```
Require forecast_individual: cleaned wide table
    containing columns CPI1 and CPI2.
Initialize output table for inflation news.
for each row key (survey_year, survey_quarter, forecaster_id) do
    current_key ← (forecast_individual, survey_year, survey_quarter, forecaster_id)
    cpi1_current ← GetQuarterSpecificValue(current_key, CPI1)
    if survey_quarter = 1 then
        lagged_key ← (forecast_individual, survey_year − 1, 4, forecaster_id)
    else
        lagged_key ← (forecast_individual, survey_year, survey_quarter − 1, forecaster_id)
    cpi2_lagged ← GetQuarterSpecificValue(lagged_key, CPI2)
    inflation_news ← cpi1_current − cpi2_lagged
    Write inflation_news to the output table for that row key.
return table of inflation news.
```

Algorithm 13 SelectLongTermInflationExpectation(*forecast_individual*, *regression_config*)

```
Require regression_config contains x_definitions.
for each x_definition in x_definitions do
    if x_definition = raw_cpi10 then
        Set x equal to CPI10 from forecast_individual.
    else if x_definition = adjusted_cpi10 then
        Set x equal to the adjusted long-term inflation expectation.
    else
        Raise an error for unsupported x_definition.
    return table indexed by
    (survey_year, survey_quarter, forecaster_id, x).
```

10.3 Construct reputation measure

Algorithm 14 ConstructReputationMeasure(*x_table*, *config*)

Require *x_table*: table containing config-selected long-term inflation expectation `x`.
Require *x_table* has columns
(*survey_year*, *survey_quarter*, *forecaster_id*, x).
Require *config*: parameter source containing
`q`, `pi_target`, `pi_NE`, `z_a`, `z_alpha`.
Load parameter values from *config*.
target_term $\leftarrow (1 - \texttt{q}) \cdot \texttt{pi_target} + \texttt{q} \cdot \texttt{z_a}$.
ne_term $\leftarrow (1 - \texttt{q}) \cdot \texttt{pi_NE} + \texttt{q} \cdot \texttt{z_alpha}$.
denominator $\leftarrow$ *target_term* $-$ *ne_term*.
Initialize output table for reputation measure.
for each row in *x_table* **do**
    $x \leftarrow$ value in column `x`.
    $\rho \leftarrow (x - \textit{ne_term})/\textit{denominator}$.
    Write ρ to the output table with the same keys as the input row.
return table containing the input keys and `rho`.

10.4 Construct regression dataset

Algorithm 15 ConstructRegressionDataset(*x_table*, *inflation_news*, *reputation_measure*)

Require *x_table*: table containing config-selected long-term inflation expectation `x`.
Require *inflation_news*: table containing `inflation_news`.
Require *reputation_measure*: table containing `rho`.
Require each table is indexed by
(*survey_year*, *survey_quarter*, u) with a common unit index u.
Initialize output table for the regression dataset.
for each survey date $s = (y, q)$ in sorted survey order **do**
    Determine previous survey date s^-.
    Build matched sample $\mathcal{U}_s$ of units u such that
$x_{u,s}$, x_{u,s^-}, $n_{u,s}$, and ρ_{u,s^-} are all observed.
    if $|\mathcal{U}_s| = 0$ **then**
        Continue to next survey date.
    for each $u \in \mathcal{U}_s$ **do**
        $r_{u,s} \leftarrow x_{u,s} - x_{u,s^-}$.
    $\bar{r}_s \leftarrow \frac{1}{|\mathcal{U}_s|} \sum_{u \in \mathcal{U}_s} r_{u,s}$.
    $\bar{n}_s \leftarrow \frac{1}{|\mathcal{U}_s|} \sum_{u \in \mathcal{U}_s} n_{u,s}$.
    $\bar{\rho}_{s^-} \leftarrow \frac{1}{|\mathcal{U}_s|} \sum_{u \in \mathcal{U}_s} \rho_{u,s^-}$.
    $z_{2,s} \leftarrow \bar{n}_s \bar{\rho}_{s^-} (1 - \bar{\rho}_{s^-})$.
    $z_{3,s} \leftarrow \bar{n}_s \bar{\rho}_{s^-} (1 - \bar{\rho}_{s^-})^2$.
    Write $(s, \bar{r}_s, \bar{n}_s, \bar{\rho}_{s^-}, z_{2,s}, z_{3,s}, |\mathcal{U}_s|)$
to the regression dataset.
return survey-level regression dataset.

11 Algorithms: OLS regressions for forecast revision

11.1 Reported regression statistics

Algorithm 16 RunForecastRevisionRegressions(*regression_dataset*, *regression_config*)

Require *regression_dataset*: survey-level table containing $(survey_year, survey_quarter, \bar{r}_s, \bar{n}_s, z_{2,s}, z_{3,s})$.
Require *regression_config* contains the sample start and end survey dates.
Keep only survey dates inside the configured sample window for the current specification.
Initialize output table for regression statistics.
Estimate Model 1 by OLS with a constant:
$\bar{r}_s = \alpha_1 + \beta_1 \bar{n}_s + \varepsilon_{1,s}$.
Estimate Model 2 by OLS with a constant:
$\bar{r}_s = \alpha_2 + \beta_2 z_{2,s} + \varepsilon_{2,s}$.
Estimate Model 3 by OLS with a constant:
$\bar{r}_s = \alpha_3 + \beta_3 z_{3,s} + \varepsilon_{3,s}$.
for each estimated model $m \in \{1, 2, 3\}$ **do**
    Extract coefficient estimate, p value, adjusted R^2, RMSE, and sample size.
    Write one row of statistics for model m to the output table.
return regression-statistics table and fitted values from the three models.

11.2 Comparison figure

Algorithm 17 PlotCumulativeForecastRevisionComparison(*regression_dataset*, *fitted_values*, *regression_config*)

Require fitted values from Models 1, 2, and 3 for each survey date in *regression_dataset*.
Require *regression_config* contains the sample start and end survey dates.
Keep survey dates inside the configured sample window; sort by survey date.
Compute cumulative data series as the running sum of $\bar{r}_s$.
Compute cumulative fitted series for each model as the running sum of its fitted values.
Construct figure with four lines:
    Data = black dashed line.
    Model 1 fitted counterpart = magenta solid line.
    Model 2 fitted counterpart = blue solid line.
    Model 3 fitted counterpart = red solid line.
Label horizontal axis with survey date and vertical axis with cumulative change in long-term inflation forecast over the configured sample window.
return comparison figure.

12 Results and comparison

The forecast revision pipeline is run twice using the two `x_definitions` listed in `data-pipeline/config/forecast` raw `CPI10` and adjusted `CPI10`. This produces two specification-specific regression tables, two specification-specific regression figures, and a set of survey-level matched-sample comparison figures. The embedded objects below are generated by the pipeline and written under `data-pipeline/output/forecast_re`

12.1 Regression results: raw CPI10

Table 2: Forecast revision regression results using Raw CPI10 (1991:Q4 to 2024:Q2).

Model	Regressor	Estimate	p value	Adjusted R^2	RMSE	Sample size
Model 1	$\bar{n}_s$	0.036086	1.969e-08	0.212937	0.094458	130
Model 2	$z_{2,s}$	0.371592	4.973e-10	0.255930	0.091842	130
Model 3	$z_{3,s}$	2.990487	8.950e-13	0.324733	0.087493	130

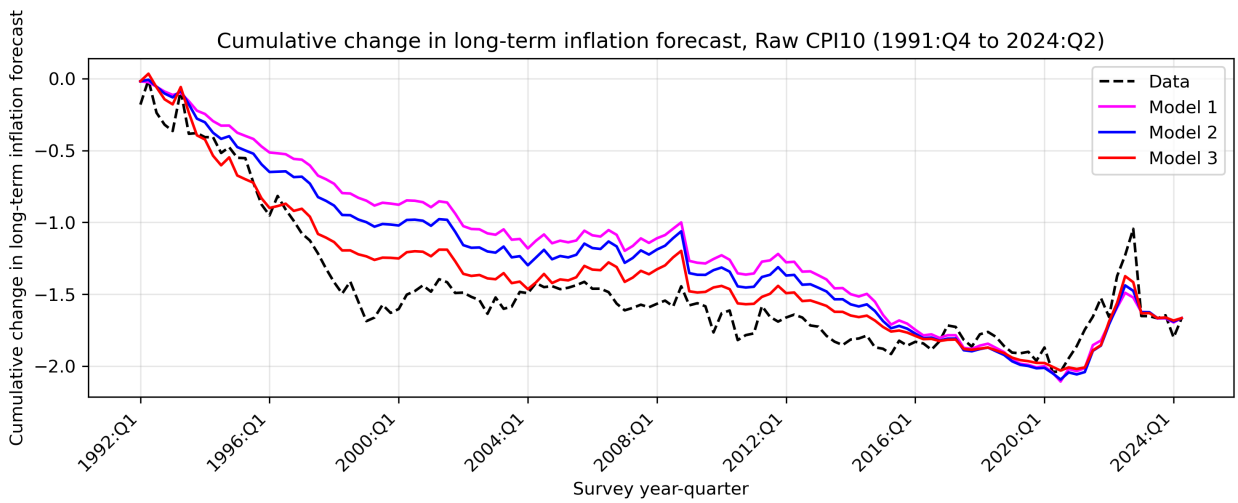

Figure 1: Cumulative forecast revision comparison using raw CPI10.

12.2 Regression results: adjusted CPI10

Table 3: Forecast revision regression results using Adjusted CPI10 (1991:Q4 to 2024:Q2).

Model	Regressor	Estimate	p value	Adjusted R^2	RMSE	Sample size
Model 1	$\bar{n}_s$	0.010526	8.649e-02	0.015149	0.094909	130
Model 2	$z_{2,s}$	0.143589	1.989e-02	0.034144	0.093989	130
Model 3	$z_{3,s}$	1.604054	4.225e-04	0.085798	0.091441	130

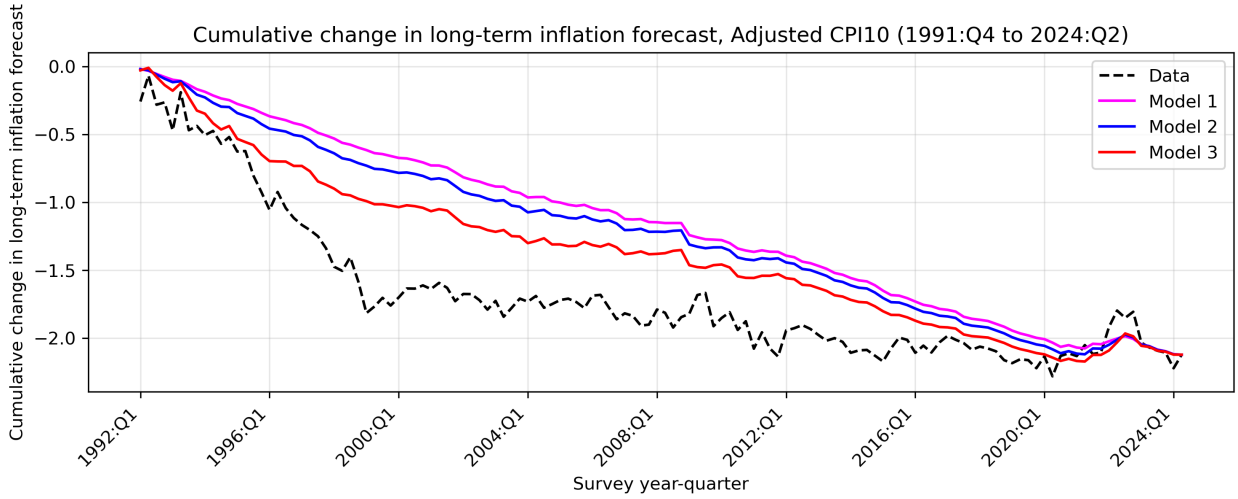

Figure 2: Cumulative forecast revision comparison using adjusted CPI10.

12.3 Survey-level matched-sample comparison figures

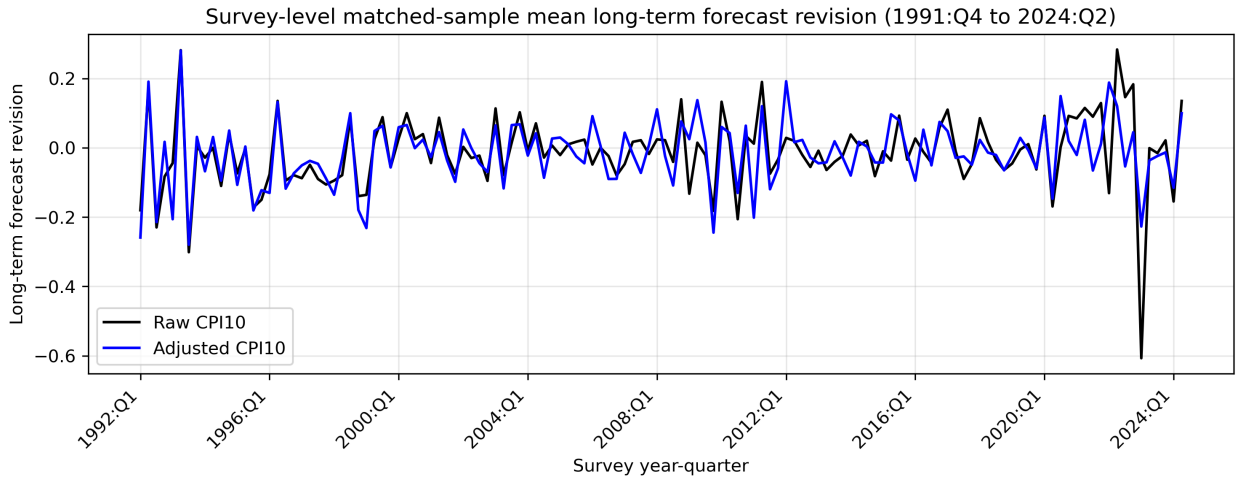

Figure 3: Survey-level matched-sample mean long-term forecast revision: raw versus adjusted CPI10.

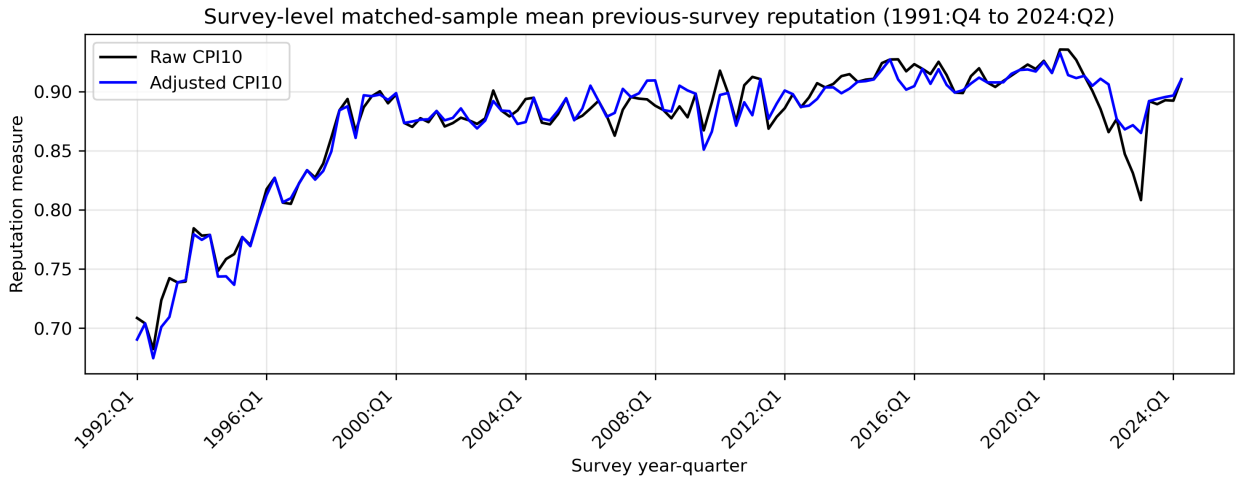

Figure 4: Survey-level matched-sample mean previous-survey reputation: raw versus adjusted CPI10.

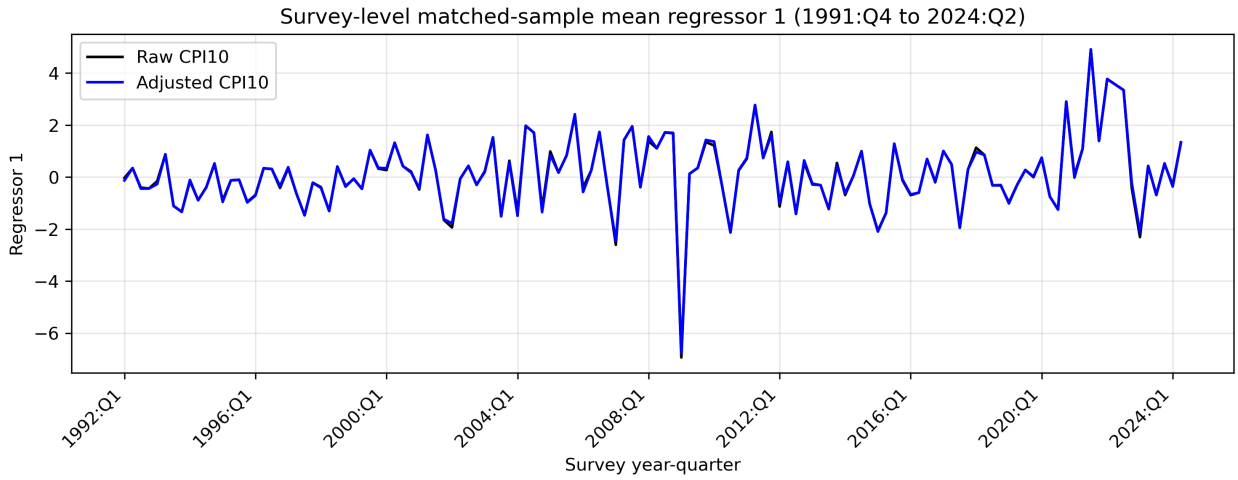

Figure 5: Survey-level matched-sample mean regressor 1: raw versus adjusted CPI10.

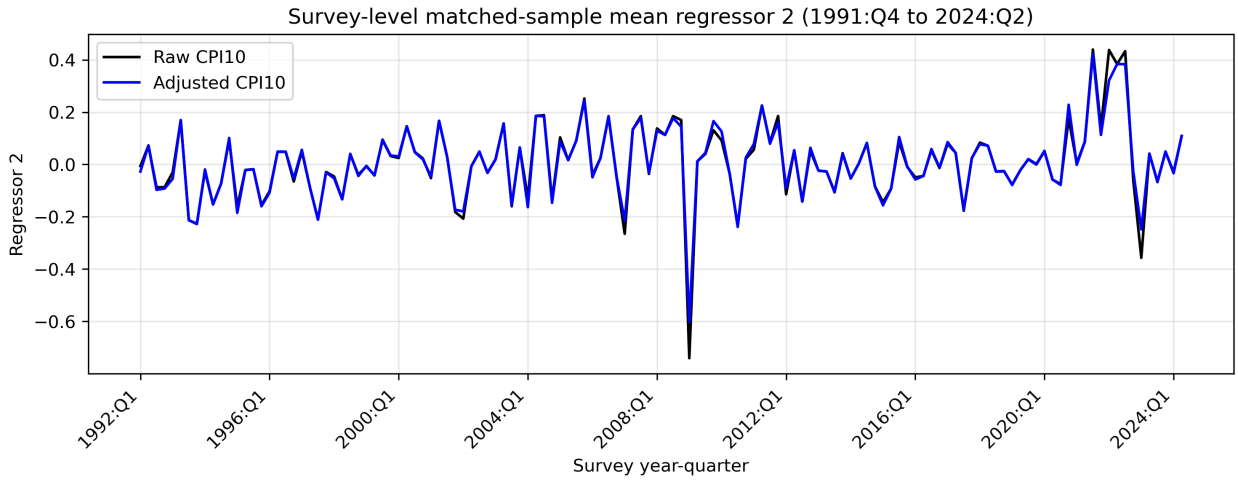

Figure 6: Survey-level matched-sample mean regressor 2: raw versus adjusted CPI10.

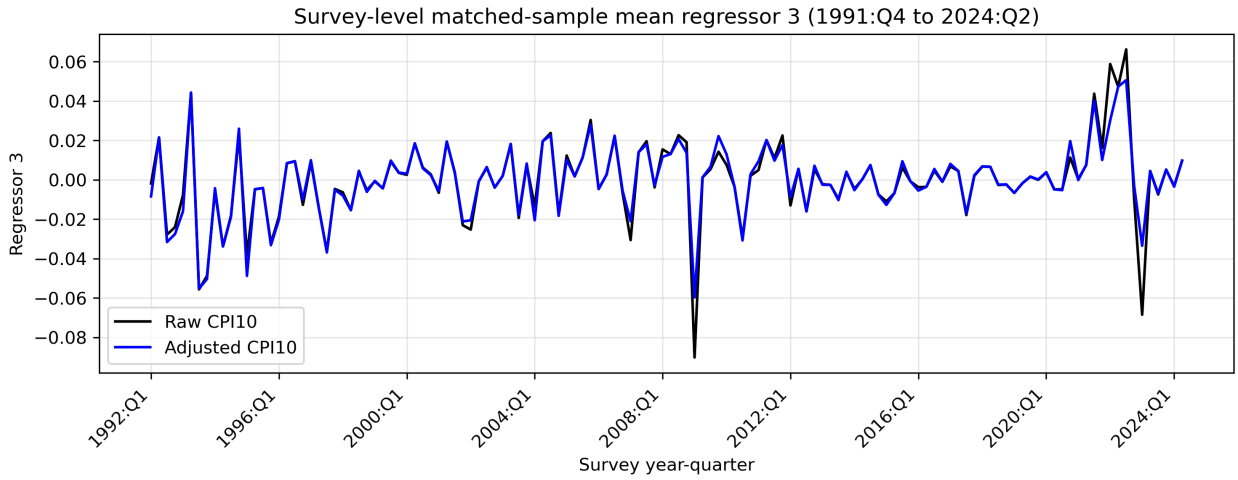

Figure 7: Survey-level matched-sample mean regressor 3: raw versus adjusted CPI10.

13 Notes

Obtaining official Excel files may be implemented by DownloadByVariableNames: given variable names (e.g., CPI10, NGDP), the procedure uses VariablePageURL to form each variable's data page URL (e.g., `https://www.philadelphiafed.org/surveys-and-data/cpi10`), GetDownloadLinks to parse the page for Individual (and optionally other) links, and DownloadOneFile to save each file to `data-pipeline/input/` under the same filename as on the site. The currently implemented cleaned individual-level outputs are `forecast_individual`, `forecaster_survey`, `adjusted_cpi10`, `inflation_news`, and specification-specific versions of `reputation_measure` and `regression_dataset`, all written as CSV. The dedicated regression config file `data-pipeline/config/forecas` specifies both the sample window for the regression analysis and the ordered list of long-term inflation expectation definitions to compare. Under the forecast revision regression design, the analysis results are written to `output/forecast_revision/`, including specification-specific regression tables and figures plus the survey-level matched-sample comparison figures. Level/mean/median and

probability tables remain out of scope unless added explicitly later. Codebook tables and figures are generated in `data-pipeline/report/codebook.qmd`; they are not part of the construction pseudocode.